



I THINK INFLATION DEVELOPMENTS CAN ALSO BE ADDRESSED BY RAISING PRODUCTIVITY LEVEL IN THE INDUSTRIAL SECTOR, WHICH IS WHAT DEREGULATION AND BOOSTING INVESTMENT EFFICIENCY WILL TAKE CARE

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In terms of the outlook for inflation, I wonder whether the external factors will be a more critical factor than what could happen domestically, especially on account of weather vagaries.

No, I think so far in the last two-three years, we have not seen that.

There was an uptick in the oil price, which came down quickly, and since then it has not been a big factor, and now there is a lot of talk around the world about ramping up production of fossil fuels.

Whether the external environment is going to affect the inflation dynamics in the domestic

economy, I would say that at this point in time the chances are remote. But yes, climate change can have an impact on food production, and it can make it more volatile. But that is again something which the government has responded to in the Budget in July 2024 by releasing so many climate-resistant seed varieties, etc., investing in food chain storages, facilities, and capacity creation. And more importantly, I think inflation developments can also be addressed by raising productivity level in the industrial sector, which again deregulation and boosting investment efficiency will take care.

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There is an interesting chapter on Artificial Intelligence in the Economic Survey. And there have been some concerns around recent developments that India is slipping behind. Your own assessment in terms of the challenge and opportunity that AI provides for our economy.

A lot of exciting developments happen in the technology front, but its impact in real terms on productivity, output in different sectors and on employment are still at an early stage. It is difficult to get, more precise than what we have done in this chapter.

The important thing is to make sure that development happens on the technology front, because we must be competitive, we must keep up with what is happening elsewhere in the world.

At the same time, we also have a much larger population than many other countries and a much higher need to generate eight million jobs a year on average. And therefore, we have additional challenges that many other smaller countries do not face.

And that is the consciousness, that is the realisation that we wanted to bring about. **BT**

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